

Technology - Taiwan

HK marketing feedback – balancing growth visibility and supply tightness

Industry Overview

Summarizing HK marketing feedback

We conducted marketing in Hong Kong (HK) during May 18-21 and met with around 30 investors during the trip. Below, we summarize our key takeaways/feedback.

#1 – identifying AMD & server CPU beneficiaries

At a high level, we received questions from several investors regarding beneficiaries of 1) the AMD server supply chain; and 2) (see report) [a strengthening demand outlook in server CPU](#). In response, we highlighted Aspeed (server controller), MPI (probe card, with potential share gains amid demand overflow), TUC, and substrate names, including Unimicron, NYPCB and Kinsus, given their relatively higher exposure.

#2 – questions on valuation vs earnings growth

During discussions on testing interface names (MPI, WinWay), we sensed some concerns regarding valuation, given the strong share price performance and re-rating over the past few years. However, we would like to remind investors of the companies' visibility in meeting or beating earnings estimates over the following quarters/years, which could continue to catalyze share prices along with valuation base rollover (even without any further valuation multiple re-rating).

#3 – pecking order within hardware substrate/PCB/CCL

On the hardware side, one of the FAQs we received was regarding preferences among the subsectors – ABF substrate, PCB and CCL. In a nutshell, we feel more constructive on substrate and CCL names, given more prolonged supply tightness (or shortages) in ABF substrate and high-end CCL. On the PCB side, we see greater headwinds from a more fragmented competitive landscape and the impact of CPO adoption.

#4 – queries on supply shortage dynamics

Further on the supply shortage situation, investors we met were interested in understanding which subsectors are facing more severe supply constraints. In response, we flagged incremental supply tightness in testing interface and power semis, given lengthier lead times for product delivery.

#5 – some interest in the PC fabless supply chain

We observed some investor interest in PC fabless names, including ASMedia and Parade. We believe our conservatism was largely accepted, although investors asked for our preference between the two. In short, we remain relatively more constructive on ASMedia vs Parade, as we believe it will only be from 2H27 (at earliest) that the latter enters the supply chain of the AMD-camp (ASIC-like) business.

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ASIC – application specific integrated circuit

CPU – central processing unit

NYPCB – Nan Ya PCB

PCB – Printed Circuit Board

TUC – Taiwan Union

ABF – Ajinomoto build-up film

CCL – copper clad laminate

FAQs – frequently asked questions

CPO – co-packaged optics

PC – personal computer

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